



Families First Work Incentive Payments

Policy 23.24

Effective: July 1, 2024

Introduction

A Families First assistance unit that becomes ineligible for Families First due to an increase in earned income but continues to meet all other eligibility criteria shall qualify for work incentive payments for up to six (6) calendar months from the date of ineligibility.

Scope

The purpose of this policy is to outline the guidelines by which Families First customers may receive additional cash benefits following ineligibility due to employment income. The goal of work incentive payments is to promote self-sufficiency by strengthening financial security and reducing the effects of the fiscal cliff.

Policy

Eligibility

An assistance unit (AU) may be eligible to receive up to six (6) months of work incentive payments if:

1. The AU becomes financially ineligible for Families First due to an increase in the AU's earned income and is working at least thirty (30) hours per week (thirty-five (35) hours for two-parent AUs not receiving federally funded child care; fifty-five (55) hours for two-parent AUs receiving federally funded child care);
2. The change in earned income is reported timely within ten (10) calendar days; and
3. The AU meets all other Families First eligibility criteria at the time of financial ineligibility, including compliance with the work and/or educational activity requirements. The AU must continue to meet all other Families First eligibility criteria during the six (6) month work incentive payments period.
4. The AU cannot receive work incentive payments and Transitional Supplemental Nutrition Assistance Program (T-SNAP) simultaneously.

- If the AU cannot be reached to make a decision as to which benefit would be more advantageous to their circumstances, T-SNAP will be approved. The AU will no longer be eligible for work incentive payments once T-SNAP is approved.

Payment Determination

1. The work incentive payment amount will be determined by issuing the maximum grant allotment for all eligible AU members at the time the AU becomes ineligible due to earned income with the following exceptions:
 - a. AU members not included in the Families First grant at the time the AU is determined ineligible due to earned income will not be included in the work incentive payment calculation. Refer to policy [23.02 Families First Assistance Units](#) for more information on ineligible AU members.
 - b. Penalties for non-compliance with immunizations and health checks, school attendance, and/or parental involvement in place at the time the AU is determined ineligible due to earned income will continue to be applied to the work incentive payment amount until the verification of compliance has been provided.
 - c. Existing recoupments at the time the AU is determined ineligible due to earned income will continue to be applied to the work incentive payment amount.
2. Eligibility for work incentive payments begins with the first (1st) day of the month following Families First ineligibility.
3. The ongoing benefit amount will be made available on the first (1st) day of each month of eligibility.

Time Limits

Each month a work incentive payment is received will count toward the caretaker relative's sixty (60) month lifetime limit as outlined in policy [23.14 Families First Time Limits](#).

Support Services

1. During the work incentive payments period, the AU will be eligible to receive:
 - a. Families First child care as outlined in policy [23.22 Families First Child Care](#), and
 - b. Support services including transportation.
2. When the work incentive payments end, the AU may be eligible for eighteen (18) months of Transitional Child Care (TCC) as outlined in policy [11.18 Transitional Childcare Payment Assistance](#).

Changes During Work Incentive Payments

During the six (6) month work incentive payments period, all changes in AU circumstances must be reported within ten (10) calendar days. See [Work Incentive Payments Procedures](#) for additional information.

Re-Entry During Work Incentive Payments

If the AU becomes financially eligible for Families First cash benefits during the work incentive payments period, the payments will end, and the Families First case will be reapproved. Families First eligibility will begin on the first (1st) day of the month following the determination of eligibility for Families First.

Closure of Work Incentive Payments

1. Work incentive payments will end after the sixth (6th) monthly payment is issued; or
2. Work incentive payments may end prior to the sixth (6th) month, if:
 - a. the AU is reapproved for Families First;
 - b. the customer requests closure; or
 - c. the AU fails to continue to meet all other Families First eligibility requirements, including non-cooperation with child support and non-compliance with the thirty (30) hour work and/or educational activity requirement.

Note: Closure for non-compliance will not result in a work requirement sanction for the AU.

Supporting Documents

[23.02 Families First Assistance Units](#)

[23.14 Time Limits](#)

[23.22 Families First Child Care](#)

[24.19 Transitional SNAP](#)

[11.18 Transitional Childcare Payment Assistance](#)

[Work Incentive Payment Procedures](#)

Definitions/Acronyms

Term	Definition
AU	Assistance Unit
TCC	Transitional Child Care
T-SNAP	Transitional Supplemental Nutrition Assistance Program

Supersedes

Policy 23.24 Families First Work Incentive Payments, eff. date 07/01/2023; Policy 23.15 Families First Family Cap, eff. date 10/15/2023

Authority

Tenn. Code Ann. §71-3-104(b)(3) and Tenn. Comp. R. & Regs. 1240-01-50-.20(1)(g)(4)

Application

All TDHS Family Assistance Staff and Contractors

Revision History

Date	Version	Location of Change	Description/Reason for Change
06/26/2024	07/01/2024	Policy Section	This policy revision removed reference to Family Cap.
7/3/2023	7/1/2023	Scope, Policy Section Supporting Documents, and Definitions/Acronyms.	Removed references to ECMS, updated the language and abbreviations, and changed the policy number.
10/24/2018	12/01/2018	New Policy	New Policy

Approval History

Approved By	Approver Title	Approved Date	Effective Date
Clarence H. Carter	Commissioner	06/26/2024	07/01/2024
Clarence H. Carter	Commissioner	07/03/2023	07/01/2023
Danielle Barnes	Commissioner	10/24/2018	12/01/2018

Current Approver